# Rates Spark: A cacophony of mad stuff

Thursday was a mad day, with many markets just doing their own thing. The war 'over there' seemed like a sideshow, of little importance for risk assets at least. And bond yields fell even as inflation breakevens continued to rise. The price of oil even fell, on zero war progress. All a bit disorderly, as central banks talk risks but hold pat


## Things swinging in directions that are tough to interpret – but let's give it a go

Some notable moves through Thursday. First, volatility ratcheted lower. Remarkably so. The CBOE volatility index dipped to 17, versus a long-run average of 19. That's quite a benign reading against a backdrop of tremendous war uncertainty. Second, and related, the S&P 500 hit a new all-time high. There's been a notable separation here between equities supported by strong earnings, and the headwinds being posed by the higher oil price. Third, rate-hike concerns continued to build. No changes in rates from the major central banks this week, but they are all morphing in the direction of hikes, especially the European ones.

Phew, let's continue. Fourth, the price of oil fell quite considerably, from $125/bbl to $115/bbl on Brent. And for no good reason. The stand-off between the US and Iran continues, and as the days go by, a $10/bbl move deserves at the very least a better rationale. Fifth, a huge intervention prompted a move in the Japanese yen, in a week when the Bank of Japan chose to hold rates steady. We thought they would hike, or at least should have.

And on bonds, US yields fell through Thursday, with the 10yr dipping from 4.44% to 4.37% (and similar on the front end). But what's important here is the breakout. Inflation breakevens in fact rose – the 10yr is knocking on the door of 2.5%. Real yields fell, and that dominated. That morph toward lower real yields can be a harbinger of things eventually turning sour on the activity front. But front and centre, the main impulse for bonds is higher inflation expectations.

We're heading towards another weekend of potential uncertainty, with Friday, 1 May, seen in the minds of many as something of a key day by which some move needs to happen between the US and Iran with respect to a deal of sorts. Hope is fading on this, which risks seeing the pendulum swinging back in the direction of a resumed kinetic outcome. That would not be great for markets, which would prefer a quick reopening of the Strait, even on a bad deal.

## Central banks preparing ground for hikes, the ECB and BOE at least

The tail risk scenario of the European Central Bank already hiking this week did not come to pass. But the fact that President Lagarde mentioned that a hike was debated, could be interpreted as a hint that a hike in June is well on the cards. The market was and still is discounting it with a probability of 90% and the ECB offered little pushback.

Rates had been falling over the past session, led by front ends, but this was owing more to oil prices falling back and, to some extent, also a less hawkish than anticipated Bank of England. Overall, the picture of energy prices driving curves via the front end remains intact, though it has become clear that the central banks' actions ahead are not straightforward given the opposing effects of rising inflation and mounting macro headwinds.

## Oil prices bigger driver of GBP rates than inflation nuances

Also, the Bank of England is preparing markets for a higher Bank Rate and our UK economist has now added a 25bp rate hike for June. We would still argue that gas prices are the more important variable to watch for UK inflation dynamics, and given these have risen by significantly less than oil prices so far, we are inclined to push back against the hawkish market positioning.

Having said that, markets are indeed still very closely following the script that links sterling rates directly to oil prices. The fall in oil prices was clearly a bigger driver of the dovish move on Thursday than the Bank of England meeting. So whilst we don't think the 60bp hikes priced in by markets this year is justified, trading such a view remains difficult. Unless oil comes down materially, the hawkish narrative will dominate, with intraday swings in oil prices setting the tone.

## Friday's events and market view

Friday, 1 May is a holiday in many jurisdictions. The focus in coming sessions is on the ECB's usual post-meeting communication, although specific speakers are scheduled only from the start of next week. Maybe we will then learn whether someone already deemed a hike necessary in April.

On the data front, the US will release the ISM manufacturing which consensus sees improving. But there will also be a focus on the prices paid component, which is expected to increase as well.

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